

26VECV00828 26VECV00828

County: los-angeles

Division: Civil Law and Motion

Department: O

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Case Number: 26VECV00828 Hearing Date: August 19, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

CREDITORS ADJUSTMENT BUREAU, INC.,

Plaintiff,

vs.

RC'S

TOWING; and DOES 1 through 10, Inclusive,

Defendant.

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CASE NO.: 26VECV00828

ORDER

DENYING DEFENDANT'S MOTION TO SET ASIDE DEFAULT

I.

BACKGROUND

Plaintiff Creditors

Adjustment Bureau, Inc. ("Plaintiff"), a collection agency, filed this breach of contract action against RC's Towing. Plaintiff alleges State Compensation Insurance Fund ("SCIF") assigned Defendant's account to it. Plaintiff alleges Defendant became indebted to SCIF for failure to pay the balance owed in connection with three consecutive workers' compensation insurance policies issued by SCIF to Defendant.

Defendant moves to set aside the default entered against it.

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II.

PROCEDURAL

HISTORY

On February

9, 2026, Plaintiff filed a Complaint alleging three causes of action for breach of contract.

On April 16,

2026, Plaintiff filed an Amendment to Complaint to correct Defendant's name to RC's Towing, Inc. AKA RC's Towing Inc.

On June 26,

2026, the Court entered default against Defendant.

On July 8,

2026, Defendant filed the instant Motion.

On August 6,

2026, Plaintiff filed an Opposition.

As of August

12, 2026, no reply has been filed.

III.

LEGAL STANDARD

A.

Discretionary or Mandatory Relief –

Code of Civil Procedure § 473(b)

“The court

may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken...” (Code Civ. Proc. § 473(b).) [1]

Code of Civil

Procedure § 473(b) “provides for both discretionary and mandatory relief.

[Citation.]” (Pagnini v. Union Bank, N.A. (2018) 28 Cal.App.5th 298,

302.)

For

discretionary relief, “[t]he court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.” (Code Civ. Proc. § 473(b).)

A moving

party need only establish “mistake, inadvertence, surprise, or excusable neglect” by a preponderance of the evidence. (*Luz v. Lopes* (1960) 55 Cal.2d 54, 62.) Excusable neglect exists where counsel or the party acted as a reasonably prudent person would under the circumstances. (See *Hearn v. Howard* (2009) 177 Cal.App.4th 1193, 1206; See also *Zamora v. Clayborn Contracting Group, Inc.* (2002) 28 Cal.4th 249, 258.)

IV.

ANALYSIS

Defendant

requests relief from default on grounds of excusable neglect. (See Mot. at 5:6.) Defendant contends that when his principal and agent for service of process, Roni Corado (“Corado”), learned of this action from an employee, Corado was dealing with health issues abroad and his illness materially impaired his ability to recognize the significance and urgency of the documents. (See Mot. at 3:11-16, 5:10-12.) Corado attests he has been abroad since August 6, 2025, during which he was diagnosed with acute stress, diabetes, and high blood pressure. (See Declaration of Roni Corado filed July 8, 2026 (“Corado Decl.”), ¶¶ 3-4.) Corado attests he misunderstood the nature of Plaintiff’s claim “and did not understand that a lawsuit had been filed requiring a formal legal response within a specific time” or that “failure to respond could result in a default being entered against RC’s Towing, Inc.” (Id., ¶¶ 6-7.) Upon learning of the default, Corado secured counsel. (See id., ¶ 9.)

In

opposition, Plaintiff argues Defendant's conduct, as in Goodson, cannot constitute mistake, inadvertence, surprise, or excusable neglect warranting relief under the statute. (See Opp. at 5:12-22, citing Goodson v. Bogerts, Inc. (1967) 252 Cal.App.2d 32, 40.) Plaintiff argues the summons plainly states, in bold type, that a written response must be filed within 30 calendar days after service and suggests that the party "call an attorney referral service" or consider free legal services. (See Opp. at 5:25-26, 6:10-14.) Plaintiff argues a party's failure to read the summons and ascertain that deadline is not the type of mistake or neglect warranting relief under Code of Civil Procedure § 473.

The Court agrees

with Plaintiff and will deny the Motion. Goodson is applicable to the facts here. Goodson holds, "If, having received the cross-complaint, plaintiff, as he claims, did not 'understand its significance' or know 'of the requirement that (he) file an answer thereto,' he should have consulted a lawyer. As said in Berset v. Berset, 126 Cal.App.2d 684, 687, 272 P.2d 868, 870, 'There was no substantial showing of excusable neglect to make an appearance in the action. A defendant who has 'no confidence in his ability to decipher legal jargon' in a summons, even 'if it were read by him,' knows that he should consult a lawyer. If he neglects to do so he cannot plead ignorance of the contents of the summons.' Moreover, a motion for relief from a default judgment under section 473 ordinarily will be denied unless it appears that in arranging for his defense a party has exercised such reasonable diligence as a man of ordinary prudence usually bestows upon an important business matter. [Citation.]" Goodson, 252 Cal.App.2d at 40 [citation omitted]; see also McClain v. Kissler (2019) 39 Cal.App.5th 399, 414-15 [duty to "take timely and adequate steps to retain counsel or to act in his own person to avoid an undesirable judgment."].)

Similarly

here, Corado states he misunderstood the nature of the documents served on him, believing they were nonurgent and corresponded to an outstanding billing dispute. However, there is no showing of excusable neglect here where Corado failed to understand the nature of the documents and failed to consult an attorney until after default had been entered against him. This evidence shows the absence of ordinary care. Further, although Corado attests he was managing health issues at the time he learned of this action, there is no evidence Corado's illness caused him to be unable to understand he was served with process. (See

Corado Decl., ¶ 6; see also Kesselman v. Kesselman (1963) 212 Cal.App. 2d 196, 207-208.) Although the Court is sympathetic to Corado's health issues, that he was preoccupied with the same is not ground for relief as he had the duty to promptly retain or consult counsel.

Thus, the
Court DENIES Defendant's Motion to Set Aside Default.

V.

CONCLUSION

Based on the
foregoing, the Court DENIES Defendant's Motion to Set Aside Default.

IT
IS SO ORDERED.

DATED: August 19, 2026

Hon. Michael R. Amerian

Judge,
Superior Court

[1] All statutory references
are to California codes unless stated otherwise.